

classes. Starting with the highest and most secure type of investment known (United States bonds), we can follow the divisions down to some arbitrary line of demarcation where the investment groups, so-called, practically end with securities in which real investment elements slightly overbalance speculative elements. And from then on down through the various degrees of speculative propositions, from the so-called speculative-investment or good speculation until we reach the low grade or almost worthless speculative scheme.

No outstanding or clear-cut line of demarcation can be determined between that large group of securities which can be fairly classed as investments and that even larger group which we would define as speculations. One great group tends to blend into the other. There is always a sort of twilight zone between them. . . .

For many years I have expressed the view that in the long run more money is probably lost by people who attempt to invest their money conservatively and sanely, but ignorantly, than is lost by those who enter into frank speculations. The loss of a high percentage of investment capital is due to the fact that proper consideration is not given to the broad, fundamental influences which are often so far-reaching and so permanent in their effects.

Any one who wishes to become a successful investor must first of all familiarize himself with broad economic conditions and tendencies as they exist in our modern industrial society. He must know something about modern finance and must understand the significance of general trends and of structural changes which are constantly at work everywhere.

The man who a dozen years ago gave thought to the fact that slowly but surely the world's interest rate was rising and the average cost of living and cost of production increasing, need not have been caught with investments in enterprises like street railways and other franchise corporations whose revenue is fixed or limited by law but whose producing or operating costs must necessarily increase with the trend of the times. Such a man would not have bought